

World in Brief: Trump promises Iran “beating”; Fed holds interest rates



Photograph: US Central Command/AFP via Getty Images

Donald Trump said America would deliver a “beating” to **Iran** in response to its latest attack on its forces in the Middle East. After a [days-long pause](#) in fighting, America’s Central Command called the intercepted missile strike a “surprise”. The news pushed up oil prices, which had fallen to a two-week low. America also said that, along with Saudi forces, it had carried out strikes on “Iran-aligned terrorists” in Iraq.

The **Federal Reserve** left its benchmark interest rate unchanged at 3.5% to 3.75%. Three of the 12 members of the central bank’s rate-setting panel voted for a quarter-point increase. Kevin Warsh, its new chairman, urged patience in [bringing inflation down](#) and said the Fed would “not hesitate to act” when necessary. American stocks fell and two-year Treasury yields declined.

Meta reported \$15.9bn in profits in the second quarter, a 14% decline from the same period a year earlier. Revenues grew by 28%, to \$60.8bn. Meta forecast [revenues](#) of between \$61bn and \$64bn next quarter, with a midpoint below what analysts expect. Meanwhile, **Microsoft’s** second-quarter earnings beat forecasts, strengthened by demand for its cloud business and AI tools. Profits grew 31%, to \$35.8bn.

The UN warned that violence by **Israeli settlers** in the West Bank is “only getting worse” despite the International Court of Justice deeming the [annexation illegal](#) two years ago. A spokesperson for the UN Human Rights Office said that Israeli settlers and security forces were often collaborating to assault Palestinians and destroy property, as well as to restrict their movement further.

The **European Union** said it would investigate FIFA’s proposed venture to raise capital from external investors. [Football’s governing body](#) attracted criticism for its plan to sell stakes in a new entity, FIFA Forward Enterprise, to raise up to \$4.2bn for its tournaments. Glenn Micallef, the EU’s commissioner for sport, called the “relentless commercialisation” of football “corrosive”. FIFA’s member associations must approve the proposal.

Britain’s new prime minister, Andy Burnham, promised to speed up a review of the country’s **social-care system**; he said that generations of politicians ignoring its state was “shameful”. He said that [his government](#) would pay care workers more and offer better training—but that paying for this would require “difficult decisions”; he did not rule out raising taxes.

Scientists in Britain found that **organic eggs** had twice the adverse [impact on the climate](#) as those from caged chickens. A study published in Royal Society Open Science, a journal, estimated that Britain’s egg production would emit 2,316,000 tonnes of carbon dioxide if in an organic free-range model—roughly double the 1,184,000 tonnes from caged hens, which are more efficient at laying eggs.

Figure of the day: 33%, the share of people using AI at work—a modest proportion considering the \$900bn big tech firms are set to spend on AI infrastructure this year. We [unpack](#) why AI adoption isn’t growing fast enough for investors.

The case for a Fed rate-cut collapses



Photograph: Getty Images

As expected, America's [Federal Reserve](#) held its benchmark interest rate at 3.5-3.75%. Three of the 12 members of the central bank's rate-setting panel voted for a quarter-point increase. The Fed's preferred measure of underlying inflation has risen by 3.4% over the past year, well above target, while unemployment remains low at 4.2%. Renewed conflict in the Middle East has sent oil prices soaring, and Donald Trump's latest tariffs are putting pressure on supply chains. Two-year Treasury yields have consequently climbed above 4.3%.

Unlike his predecessors, who routinely dropped hints through "forward guidance", [Kevin Warsh](#), the new Fed chair, has offered few clues about his thinking. Speaking on Wednesday, he defended that decision, observing that markets have since reacted "much more directly" to events. Building consensus is never easy at the Fed—Mr Warsh said this month's meeting was, as he desired, a "good family fight". It may be harder still for a chair breaking with tradition.

“Shield” laws have preserved abortion access in America



Photograph: Getty Images

Despite abortion bans, nearly 15,000 procedures a month take place legally across America, according to the latest data by the Society of Family Planning. That is possible because of “[shield laws](#)”: legislation that allows providers in Democratic-led states to prescribe and post abortion pills nationwide, while avoiding criminal and civil consequences. The laws make a provider subject to the regulations of their own state, rather than to those of the recipient’s. Massachusetts passed the first such law four years ago. Seven other states have followed.

Activists who want to ban abortion have tried various tactics to block the effects of shield laws, including suing doctors across state lines. So far they have not worked. Democratic governors have blocked extradition requests and officials in their states have refused to collect fines imposed by other states. Requests for abortions rise during legal challenges, presumably because more women learn about the option, according to one provider. Although further federal legal challenges are expected, shield laws have so far proved surprisingly effective.

Russia's war comes home



Photograph: Alamy

A slew of data released on Wednesday will indicate that Russia's economy is in rough shape, but not at a crisis point. Not long ago, Western observers expected a recession to follow negative GDP growth during the first quarter of 2026. Yet this week's figures are expected to confirm that growth in the second quarter was positive.

Still, the economy is showing signs of strain. In recent months Ukrainian drone attacks have penetrated deep inside Russia, [destroying](#) oil refineries and other infrastructure. The strikes are affecting both perceptions of the economy and real economic outcomes. Business and consumer confidence, which was recently sky-high, has plunged. Queuing for petrol, as many Russians must now do, is irritating. Wage growth is slowing.

Ordinary Russians are [feeling](#) the effects of Vladimir Putin's war more than ever before. Satisfaction with government policies plunged from 45% in January to 21% in June, according to VCIOM, a state-owned pollster. But Mr Putin is unlikely to [change course](#).

The grisly potential of a bioweapon apocalypse



Photograph: Alamy

Biological weapons are among the most lurid tools of modern warfare. In theory, they are illegal. However, some countries build them in secret, or at least keep the option close at hand. “Biological War: A Scenario”, by Annie Jacobsen, published this week, maps out the potential consequences of unleashing a genetically modified bioweapon worldwide. Ms Jacobsen—a journalist and the author of several works on war and military affairs—replicates the format of her previous book, which offered a minute-by-minute account of a hypothetical nuclear attack on America.

The result is chilling. In her imagined scenario, an explosion at an infectious disease research facility in Russia releases a lethal pathogen. Mass death, societal breakdown and anarchy follow. She includes harrowing details about the American government’s doomsday plans. A biological weapon like this, Ms Jacobsen concludes, “could easily be the final failure of the human imagination”.

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Wednesday: What is a common name for the Central Intelligence Agency?

Tuesday: Although British newspapers are no longer produced there, which London road was famous as the home of the press?

Gossip is never fatal until it is denied.

Booth Tarkington